

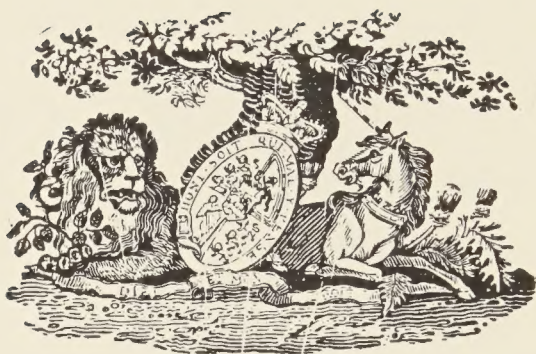
Coca-Cola
Bottling Company United, Inc.

A Pause To Reflect

CRAWFORD T. JOHNSON III



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"Were American Newcomen to do naught else, our work is well done if we succeed in sharing with America a strengthened inspiration to continue the struggle towards a nobler Civilization—through wider knowledge and understanding of the hopes, ambitions, and deeds of leaders in the past who have upheld Civilization's material progress. As we look backward, let us look forward."

—CHARLES PENROSE

(1886-1958)

Senior Vice-President for North America

The Newcomen Society

for the study of the history of
Engineering and Technology

(1923-1957)

Chairman for North America

(1958)



This statement, crystallizing a broad purpose of the Society, was first read at the Newcomen Meeting at New York World's Fair on August 5, 1939, when American Newcomen were guests of The British Government.

"Actorum Memores simul affectamus Agenda"

This address, dealing with the history of Coca-Cola Bottling Company United, Inc., was delivered at a "1987 Alabama Newcomen Meeting" of The Newcomen Society of the United States held in Birmingham, when Mr. Crawford T. Johnson III was the guest of honor and speaker on
October 27th, 1987.



“My grandfather would be amazed to see the changes . . .
he would be pleased to note the things that have *not* changed
. . . his ideals of quality of product, loyalty to employees,
service to the trade and community . . .”

CRAWFORD T. JOHNSON III



Coca-Cola Bottling Company United, Inc.

A Pause to Reflect

CRAWFORD T. JOHNSON III

MEMBER OF THE NEWCOMEN SOCIETY
CHAIRMAN AND CHIEF EXECUTIVE OFFICER
COCA-COLA BOTTLING COMPANY UNITED, INC.
BIRMINGHAM, ALABAMA



THE NEWCOMEN SOCIETY OF THE UNITED STATES
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INTRODUCTION OF MR. JOHNSON IN BIRMINGHAM,
ON OCTOBER 27TH, 1987, BY MR. WILLIAM J.
RUSHTON, III, CHAIRMAN AND CHIEF EXECUTIVE
OFFICER, PROTECTIVE LIFE CORPORATION, BIR-
MINGHAM, AND MEMBER, NEWCOMEN BOARD OF
TRUSTEES AND CHAIRMAN, ALABAMA NEWCOMEN

Fellow members of Newcomen and guests:

WE ARE here to honor Coca-Cola Bottling Company United, to honor the Johnson family that created this great company, and to honor its leader Crawford T. Johnson III. It is a privilege for us to have Crawford as our honoree, and it is a privilege for me to introduce him to you because I admire him and value his friendship so much.

Our speaker was born of one of the illustrious families of this area. His grandfather, Crawford Johnson, founded the company being honored, and served as Birmingham's first Community Chest president. Crawford's father served with distinction as an officer in World War II, was general chairman of the Community Chest campaign and served as its president, and, as we know, very ably managed the family business.

It is obviously a tradition in the Johnson family that you give to your community and to your country much more than you receive, a tradition in which our speaker stands at the very top in this community, and you and I are the better for it.

From the very beginning our speaker has been all of the things that a caring father and a proud grandfather would hope for in a son. Crawford graduated from one of the nation's prestigious prep schools, The Lawrenceville School, and in the process of attaining a degree from "the" university—that is the University of Virginia—he was commissioned an officer in the United States Navy and served in both the Pacific and Atlantic theatres during World War II.

It is nice to deserve all of one's good fortune, but sometimes it is even better to be lucky. Crawford was lucky to marry the charming Virginia—"Din"—Goodall, who also came from families that gave so much to this community—her father, Robert Goodall, and her grandfather, Robert Jemison, Jr.

Our speaker wasted no time in preparing for and assuming a major leadership role in everything with which he was involved.

By the time he was forty years old he had already served as general chairman of our United Way drive, president of the Birmingham Chamber of Commerce, and junior warden and senior warden of the Church of the Advent. He subsequently served as president of the United Way and president of the Rotary Club.

He has been chairman of numerous fund raising campaigns in this city, and has been honored by Samford University, University of Alabama in Birmingham, National Conference of Christians and Jews, and in 1986 was recipient of the Greater Birmingham Community Service Award.

It is not adequate to say that Crawford is "involved." More accurately Crawford has been a leader, giving of his time, and leadership, and means to everything worthwhile in this community.

His counsel and judgment are also sought in the business world, and he serves on the boards of directors of Amsouth Bancorporation, the Alabama Power Company, Russell Corporation, and I am proud to say Protective Life.

I recall when I told my dad that I wanted to invite Crawford to serve on Protective's board, the Colonel, who had a great affection for Crawford said, "He is a fine young man. I am very fond of Crawford."

Crawford, you should know that that feeling of the Colonel did nothing but grow stronger, and even in his last year, when you were sixty-two years old, the Colonel said to me, "Crawford is a fine young man. I am very fond of him."

Within the great Coca-Cola family of companies, Crawford is also one of their leaders, having served as a member of the Board of Governors of the Coca-Cola Bottlers Association—recently having served as president of that group, chairman of their 100th Anniversary Steering Committee, and is now serving as chairman of the Coca-Cola Scholars Foundation.

As we know, he has also built his own company from the single-product family business into the dynamic multi-product company which it now is, but that is his story to tell.

On a personal note I remember very well shortly after I came back

to Birmingham from school and the army, the first conversation I had with Crawford. He in his fashion enthusiastically was telling me what a great promotional idea it would be for Protective Life to offer, as part of its regular life insurance policies, a feature that would pay the face amount if the insured became the father of twins, and double the face amount if it happened twice. I really did not know until I got home that night that Crawford and Din already had two sets of twins, and furthermore that twins tended to be hereditary and run in families. As we all know, those particular twins are just about the most charming young ladies that anyone has ever seen in one family, and in Johnson fashion they also are involved in their communities. They also married outstanding young men all of whom incidentally graduated from "the" University—of Virginia. I say incidentally; actually I have always assumed that it was a requirement.

I just have a feeling that Crawford will find a way to explain to the University of Virginia chancellor what a wonderful promotional idea it would be for the university to grant scholarships to first cousins all of whose fathers and maternal grandfathers went to the University of Virginia, and if their parents are twins, there is no telling what it would be worth to the university.

Crawford's list of accomplishments and honors are evidence of what he gives to this community and to his industry, but there is one thing which Crawford gives to all who are privileged to know him. That is his wonderful positive outlook on life particularly when he is challenged or faced with obstacles.

He is the most positive person whom I know. More than any of us, Crawford sees the pony. Last week you may recall seeing the picture of Crawford and Jimmy Lee together saluting Samford University. My secretary commented that it was such a good picture of Crawford, and he seemed so happy. My response to her was that Crawford Johnson always takes good pictures, because his smile comes from within. He is the most positive person whom I know.

Crawford has the wonderful trait of seeing the silver lining, and even more importantly he knows how much it means to the rest of us to make us aware of that silver lining.

I value his friendship, and with pride present to you our guest of honor, chairman and CEO of Coca-Cola Bottling Company United, Inc., CRAWFORD T. JOHNSON III.

Fellow members of Newcomen and guests:

THANK you, Bill, for that most generous introduction. I would be most thankful if you would mail a copy of it and Larry Gipson's remarks to Saint Peter at the pearly gates marked "Hold for arrival of Crawford Johnson III."

Now let's pause for a few minutes to reflect about Coca-Cola Bottling Company United.

What is Coca-Cola Bottling Company United? As a Coca-Cola bottler we have exclusive franchises to distribute Coca-Cola in certain territories. We are one of the ten largest independent Coca-Cola bottlers in the United States with principal divisions in Birmingham, Alabama, Chattanooga, Tennessee, Spartanburg, South Carolina, Augusta, Georgia, and Savannah, Georgia. We have sales centers in Cullman, Guin and Jasper, Alabama, and Elberton, Swainsboro, Claxton, Hinesville, McRae, and Waycross, Georgia. We distribute Coca-Cola Company products in all our locations, Dr Pepper in Chattanooga and Spartanburg. We produce soft drinks in three locations—Birmingham, Augusta and Chattanooga. We have a fast growing food service operation called ABI Food Services, Inc. in Birmingham, Chattanooga, Augusta and Spartanburg, and at the end of last year we joined with Dillon, Read & Co. to purchase the Gulf Coast Coca-Cola Bottling Company consisting of Baton Rouge, Lake Charles and Lafayette, Louisiana and McComb, Mississippi.

We have over 1,600 employees. Including our portion of Gulf Coast sales, we will do about \$300 million in annual sales. Our stock is not publicly traded, although we have over 160 stockholders. Among them are many familiar names from Alabama and the southeast. Our majority stockholders are the descendants of Crawford Johnson, with an additional large interest owned by the descendants of R. C. Jones of Chattanooga.

It is impossible to tell the story of our company without first identifying several key elements involved in its development:

First, a very large group of supportive customers, many of them immigrants, first-generation Americans and minorities, civic leaders, business leaders, bankers and friends in all of our territories. Regardless of the dedication and talent of our organization or the

demand for our products and services, our enterprise would not be successful without their help. I hope that we will continue to merit this priceless heritage of goodwill.

Second, we are fortunate that many of our employees choose to spend all or most of their working years with us. They give us a sense of strength and cohesiveness that binds us together through times of challenge and change.

Third, the story of our company is not the story of The Coca-Cola Company; the story of that magnificent enterprise is well documented. We have both received great benefits from our partnership. There have been a number of family feuds along the way that we have always been able to resolve to our mutual satisfaction.

Last, we have always had fierce competition in the business. In the early days it ranged from consumer apathy and opposing groups like some clergy (Coca-Cola contained dope they thought) and the saloon keepers (Coca-Cola would ruin the liquor business) to non-soft drink items like coffee and tea or watermelons (Dad hated them) to modern day powders, fizzes, aseptic packages, private labels, bottled water, 7UP, Double Cola, Royal Crown, and our current mortal foe Pepsi. This competition has brought better products and packaging at lower prices to the consumer and has been the catalyst for the growth of the industry.

This is the story of a Coca-Cola bottler which has been part of a worldwide system that has made Coca-Cola the most recognized trademark in the world.

Crawford Johnson, the founder of the company, was born in Danville, Virginia, son of a Baptist minister, who was named for his uncle Crawford Howell Toy, an eminent Baptist scholar who was thrown out of the South because his teachings did not seem to be quite as fundamental as some of his contemporaries thought they should be. Crawford Howell Toy wound up his days teaching at Harvard. He wrote the article on the Hebrew religion appearing in the 1903 *Encyclopaedia Britannica*. Among my grandfather's other illustrious relatives was his brother Wortley Johnson, who was a brakeman on the train Casey Jones hit. After the glamour of that event wore off, Uncle Wort, a wonderful man, spent the rest of his life running the Coca-Cola Bottling Company in McComb, Mississippi.

Crawford Johnson graduated from the University of Mississippi when he was sixteen. He moved to Chattanooga, Tennessee, where he was in the produce business and the assistant clerk of the county court. He married Caroline Acree from Clarksville, Tennessee.

In 1899 some prominent businessmen from Chattanooga acquired most of the United States bottling rights for Coca-Cola—which had been invented for soda fountains—from Asa Candler in Atlanta. Coca-Cola was first bottled by Joseph A. Biedenharn in 1894 at Vicksburg, Mississippi, without a contract. The Chattanoogaans established the world's first franchised Coca-Cola bottler in Chattanooga. Since they had neither the money nor the manpower to cover the country themselves, they began selling franchises. They kept a syrup override for themselves and were the interface between the bottler and The Coca-Cola Company. They were called parent bottlers. Because of Crawford Johnson's respect for their business acumen, he became involved in the business.

He came to Birmingham in 1902 with about \$12,000 of his and other people's money to establish the Birmingham Coca-Cola Bottling Company with a helper named Sam Whitt and a borrowed mule named Bird. A year later he was able to move to larger quarters and buy Bird.

In the early days this company and the founder were one and the same, and since I was his namesake and first grandchild, as a young person I got to know him quite well. He was my friend. We did things together.

He loved his family and his family of employees and he felt great responsibility toward them but not to the point of possessiveness. He was committed to his community and his churches, Baptist and, through his wife, Episcopal. They began our involvement in community affairs: she in the Children's Hospital, the YWCA, the University of the South at Sewanee and he in the Chamber of Commerce, the Park and Recreation Board and Howard College—now Samford University. He was an organizer of the Birmingham Community Chest and its first president. Our association with the Chest is now in its fourth generation. He was a competitor who loved spectator sports. One of his favorite diversions was trading. He loved to swap things. He was a practical joker without peer.



CRAWFORD TOY JOHNSON, SR.



BIRMINGHAM COCA-COLA BOTTLING COMPANY WAS LOCATED AT 1728 AVENUE B SOUTH
FROM 1903 TO 1907

The company grew very rapidly in those early days. There were other territories in the state like Mobile, but he was unable to develop the manpower to support all of them. He did set up partnerships in Jasper and sub-bottlers in Russellville, Guin, Fayette and West Blocton, and there were distributorships in Leeds and Montevallo. Deliveries were made with wagons and by railroad.

Around 1908 he decided it was time for him to learn to drive an automobile. An employee of the Drennen Motor Car Company was furnished for the purpose and some weeks later—the day after he had sent his teacher back to Drennen's and taken over the operation—he drove his new car through Henry Porter's clothing store show window, went into the bank next door and called the man who had taught him to come to work permanently for him. He never got behind the wheel of a car again.

In 1910 he worked to form the Coca-Cola Bottlers Association. In some correspondence of the day he assured a Coca-Cola official he was

not forming another drinking society, that he had more than ample opportunity to do that on his own. He became the first president of the association, which then proceeded to develop the first product liability insurance ever offered. Through the years the Bottlers Association has served many useful roles for us. Currently its most important function is to negotiate contractual changes with The Coca-Cola Company which are then presented to individual bottlers for their separate approvals.

In 1911, Grandfather began buying other territories. He started by buying stock in the Baton Rouge Coca-Cola Bottling Company.

In 1914, Bird, the mule, retired and spent her days wandering around southside and nights in her stall at the plant.

In the mid-teens Birmingham was a secret test site for the now famous hobble skirt bottle.

Right after World War I there was a sugar shortage and sugar prices soared. Our perpetual contract called for The Coca-Cola Company to furnish Coca-Cola syrup and sweetener at a fixed price. This situation could have caused the ruin of The Coca-Cola Company. Although the crisis passed, The Coca-Cola Company decided that it must try to break the contracts it held with the parent bottlers. If this contract with the parent bottlers had been broken, the contract we had, which was with the parent bottlers, could well have been nullified.

My grandfather and a number of other bottlers worked very hard to be a mitigating force in the dispute. It was settled by mutual consent and the resulting 1921 contract enabled The Coca-Cola Company to grow in the United States through sugar profits and volume increases. This contract stood unchanged for fifty-seven years.

In 1921 Crawford Johnson, Jr. came into the business and in 1925 his brother, Allen Johnson, arrived. This gave the founder more eyes, ears and hands to run the business. He was then able to spend considerable time buying and selling Coca-Cola plants, which were selling those days because of the contract change and because many first-generation Coca-Cola bottlers had no one to succeed them in the business.

With various partners, Crawford Johnson bought Augusta and Waynesboro, Georgia and in South Carolina, Spartanburg, Laurens,

Darlington and Hartsville. In 1924 he was able to buy the Chattanooga Coca-Cola Bottling Co. He established a summer home on Lookout Mountain where he and my grandmother spent many happy days.

By 1926 a number of my grandfather's original Birmingham partners wanted to sell. To buy them out, he set up a corporation called Crawford Johnson & Co. Inc. to own the assets and do the distributing, and a partnership called The Birmingham Coca-Cola Bottling Company, owned by the spouses of Crawford Johnson & Co., Inc. stockholders, to do the production.

Another reason for the reorganization was that he must have realized that his two sons often had quite different business opinions. He set up the Birmingham companies so that each of his sons would eventually have 40 percent of them, and one of his original partners, R. C. Jones of Chattanooga, had the other 20 percent. This arrangement on more than one occasion kept the company from becoming locked in an owners' dispute.

We moved from 22nd Street and Fourth Avenue South into our new plant on Eleventh Avenue North in 1928. I earned my first nickel leading Bill Nappi's band at the grand opening. Crawford Johnson predicted that the new plant would last for all time.

The depression hit in 1929. Contrary to popular belief that we are depression proof, our volume dropped about 30 percent. We didn't get it all back until the mid-30s. It was done by the rigorous development of new sales channels like the six-pack and coolers. Dad was the sales manager at that time and made an arrangement to put an ice cooler in every Hill's grocery store in town. They were the largest food chain in Birmingham. Hill agreed to pay for the coolers by paying us one-half of their increased profits from Coca-Cola until the coolers were paid for. We had our money back in six months.

We began to use new training and motivational programs that accelerated our recovery. At one important sales meeting my father was extolling the virtues of his father when the founder walked into the room with apologies for being late: "But it really isn't necessary for me to be here," he said. "My son is completely capable of running things. I have no idea what he was talking about when I came in but whatever it was, I agree with it completely."



CRAWFORD TOY JOHNSON, JR.

During the depression we had many new crises. One of them occurred during the bank holiday called by President Franklin D. Roosevelt. Our employees had to be able to buy food. Since there was a shortage of currency, we paid them with scrip that we bartered from the Hill Grocery Company.

From 1935 through 1941 our company grew rapidly. Dad and Uncle ran the company through General Manager Joe Eros and then Allen MacCartee. With their different business temperaments, this was a necessary arrangement. A large addition to the plant was made in 1936 and another in 1939. New production lines were added in 1940.

There was one product, Coca-Cola, and two packages, twenty-four pocket cases and six-pack cartons. We increased distribution with open top electric coolers and began using a few vending machines.

After Pearl Harbor in December 1941, Dad and Uncle went into the armed forces. Dad spent three-and-a-half years in Dallas as a

finance officer and Uncle was at Albany with the Air Force. My grandfather came back into the business. Many of our employees volunteered or were drafted and with sugar rationing, gas rationing and steel rationing (for bottle caps), our volume dropped as much as 70 percent in Birmingham. The company was manned by women and men ineligible for the armed services. Dividends were cut, but Christmas bonuses were paid to employees, including those in the armed forces.

In December 1942 my grandfather died suddenly. My grandmother arranged to have the funeral at home to avoid a likely Baptist/Episcopal conflict between his family and hers. She served as president of the company until mid-1945 when Dad and Uncle returned from the service.

General Manager MacCartee had to retire shortly thereafter for health reasons. I joined the company in October of 1946 after service in the navy, planning to spend a year in what I thought was a fine but mature business. I wanted to find something that would be more challenging. My assessment was correct for ten months, then in August 1947 sugar rationing ended and the business turned dynamic where it has been ever since. By the end of my first year in the business, I was telling Dad how to run it, not resigning. I must have driven him crazy. How I wish I knew as much now as I knew then.

In 1949 Dad and Uncle persuaded Sanders Rowland to join our company as general manager after a long career with The Coca-Cola Company as a bottling plant manager. Sanders was a superior salesman. He really cared about the people he was working with—an employee, a customer, a supplier or a stockholder. Sanders set up our basic management system. He was a talented trainer of people. He gave them responsibilities and expected them to produce and report.

In the late '40s and early '50s desegregation was much on our minds. Dad and Uncle wanted this change made in a quiet and orderly fashion. There were problems, but Sanders, with his affection for people, was able to lead the move and smooth the waters. I am proud that our people and our company have played a constructive role in this change.

In the early '50s Robert Franklin, known as "Preacher" because he was the son of the Methodist bishop of Mississippi, became head



ALLEN A. JOHNSON

of our sales. Preacher was a salesman and motivator like Sanders Rowland. He directed the industry's first "cooler blitz" that placed 362 new vendors in Birmingham in one day. It was widely utilized by Coca-Cola bottlers across the nation. He was the Coca-Cola bottlers' interface with Coach Paul Bryant. Along with Golden Flake potato chips we developed the slogan, "Great pair says the Bear." The coaches statewide game review television show that we sponsored—one of the first of its kind—was used by Bryant to recruit, coach and motivate. Our association with the Bear, which began long before his mystical abilities were widely recognized, was very valuable to us.

During those years we modernized our facilities and built a second plant in Birmingham. King-size Coke arrived in the mid-'50s, cans in 1960, 16 oz. in 1962 and TAB, our first sugar-free product, in 1963.

I began to work with other plants in which we had interests. I reported to Sanders in regard to Birmingham and to my father and uncle for the rest of the companies. The effort with them was not to run them but to develop similar profit and loss statements and to move ideas and solutions from one place to another more rapidly.

In 1959 Dad became convinced that we should become a public company and the firm of Lazard Freres of New York was engaged to do a study. I was assigned to work with a young man named Felix Rohatyn, who later devised the plan that saved New York City from bankruptcy. Felix did a fine study, but during the course of it I became convinced that our management and our organization were not ready to be a public company. Dad was adamant and was finally outvoted by Bob Jones, Jr. and my uncle. I believe their vote saved the company.

The new packages and products made our budgeting and control systems obsolete. Up to that time, our budget system was like that used in many small businesses. We simply compared against last year's figures on an account by account basis. In a dynamic time that just doesn't work.

We needed financial depth and sophistication. After a two- or three-month battle with Dad and Uncle, they let me bring Bob Perry, a CPA, down from Chattanooga Coca-Cola where he had been controller.

Bob developed a cost system for us similar to the standard cost system used by many manufacturers. It told us what our profit should have been based on the prices, products, packages and volume that we sold.

I'll never forget Dad asking Bob Perry for some figures when Bob first moved to Birmingham. Bob asked for what the figures were going to be used. My father wasn't used to being questioned by anyone other than Mother and was quite startled. Then Bob added, "Mr. Johnson, I need to know what you are going to use the figures for so I can be sure you have all the figures you need."

And did we need figures! We had gotten into the full-line vending business in Birmingham in 1962, following Spartanburg by a couple of years. This business requires close and quick attention to minutiae and the ever changing needs of the accounts being served.

Bob Perry directed our entry into the world of computers. Our computerized information system is both complete and cost effective. We would be in deep trouble without it.

Uncle died in 1971, and Sanders Rowland retired later that year. Dad died in 1972. That brought the management team totally into the third generation. The controlling stockholders then were my brother, Fred Johnson, who was secretary of the company and in charge of purchasing. (Fred died in an automobile accident in 1979.) Allen Johnson, Jr. represented his side of the family. Allen has always been very close to the company, but except for some summer work when he was in school, has never been an active employee. Also, R. C. Jones, III of Chattanooga, grandson of one of the founders' original partners, and myself.

The companies in which we had interests were separate, with different stockholders and different boards. In the late '60s the need for capital continued to grow. We had built a new plant in Chattanooga at tremendous cost. We had bought some plants adjacent to Augusta and needed a new plant there. For financial and operating reasons these companies needed to be merged.

After several years of work by Bob Perry and me, Coca-Cola Bottling Company United, Inc. was formed in October 1974, with the merger of four corporations and the dissolution of three partnerships. We had a few dissenters at the time, which hurt me greatly, but we bought them out and have used that stock to sell to our chief management people. In hindsight, I wish there had been more dissenters.

As part of the merger, we added William K. Murray, a Birmingham attorney and Charles Presley, chairman of the Georgia Railroad Bank of Augusta to our Board of Directors, and shortly thereafter Conrad W. Rafield, III. In addition to them our board now consists of R. C. Jones III, Allen Johnson, Bob Perry (who is now vice chairman and chief financial officer) and myself—two insiders and five outsiders.

The merger has worked out better than we had hoped it would. It has enabled us to build new plants in Augusta and Birmingham; buy Savannah, Claxton, Hinesville, Statesboro, Sylvania, Waycross and McRae; expand the food service business; and take a major equity



CRAWFORD TOY JOHNSON III

position in the Gulf Coast Coca-Cola Bottling Company. Since the merger, sales of Coca-Cola Bottling Company United have more than quadrupled.

In 1975, Robert Franklin, who had succeeded Sanders Rowland as general manager of the Birmingham division, died suddenly. After a thorough search, we were able to persuade Luke Cranford to join our organization from the Atlanta Coca-Cola Bottling Company to succeed Preacher. Luke is now president and chief operating officer of Coca-Cola Bottling Company United. The Birmingham division is being run by one of my sons-in-law, Claude Nielsen, the only other family member who is an employee.

H. S. Clarke, president of our Spartanburg division, became convinced in 1976 that plastic packaging had a future in our business. He worked very hard with a plastic manufacturer to get a container that would meet the stringent quality standards of The Coca-Cola Company. Subsequently, Spartanburg was the first Coca-Cola bottler

in the world to produce the PET container and the rest of our divisions were many months ahead of the competition in bringing the package to market.

Two other critical matters of note occurred in the '60s and '70s that challenged our business.

The industry franchise system was attacked by the Federal Trade Commission in the late '60s. This could not have happened if the franchise companies had owned their own distribution systems. The charge was that the exclusive franchise system was not competitive. Our system is very competitive. Consumers have plenty of alternatives to franchised soft drinks, and if they believe that they have been done in, they can turn us around in short order. A recent example: in a matter of weeks The Coca-Cola Company brought back Coca-Cola Classic because of public outcry. The FTC matter was resolved by the enactment of legislation by the Congress.

We had a contract dispute with The Coca-Cola Company that was settled in 1978. For the first time the bottlers gave The Coca-Cola Company some pricing flexibility on the concentrate part of the syrup. Since then The Coca-Cola Company has been able to raise the price of Coca-Cola concentrate as much as the increase in the Consumer Price Index. In 1983 we added amendments to the '78 contract covering new sweeteners. Some people believe, and I am one of them, that no matter how perpetual a contract is, either the contract will be amended or the system will fail if it becomes onerous to one of the parties involved.

Our business is changing so rapidly that our relationship with The Coca-Cola Company needs frequent review. However, no aspect of our status as an independent bottler is negotiable. One of our principal responsibilities is to finance the Coca-Cola manufacturing and distribution system. If we are not independent, our indebtedness must ultimately be guaranteed by The Coca-Cola Company. We don't want that and I don't believe The Coca-Cola Company wants that either. We do believe that our independence means better control and utilization of the assets required to carry out our role in the system.

That single bottle of the 1920s has grown to 58 flavors and 322 packages. Until the mid-'50s, the major consumers of soft drinks were between the ages of fourteen and thirty-five. Now with the ad-



THE BIRMINGHAM COCA-COLA BOTTLING COMPANY AND COCA-COLA BOTTLING COMPANY UNITED, INC. ARE NOW LOCATED IN THIS MODERN FACILITY IN BIRMINGHAM

vent of low calorie sweeteners and caffeine free products, soft drinks are marketable to every age group.

In contrast to the noisy growth of the soft drink sector of our company, our food service business has had quiet but even more dramatic expansion. We have moved from a full-line vending company to one offering many types of food service to industries, offices, hospitals, schools and universities. We operate commissaries in four cities, serve 547 accounts of all sizes and have 411 employees in the food service company. We are expanding our capabilities in food service, and we think the growth rate of this division will continue to accelerate.

From two men and a mule we have grown to 1,688 men and women and 841 vehicles in eighty-five years. My grandfather would be amazed to see the changes in the company. Most of all, he would be pleased to note the things that have *not* changed since the beginning. His ideals of quality of product, loyalty to employees, service

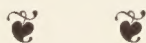
to the trade and community involvement have not changed but flourished.

As my years with our company grow near to a close, I am confident that the fourth generation of management is by far the most talented and diverse we have ever had. I am proud of the accomplishments of my generation. I challenge and expect the next generation to continue our growth.

Our business is not an easy or simple business. It's not a gold mine either. But people who like it can make it successful with good planning, good execution and an occasional heat wave. Ours is a happy business. We deal in special times in peoples lives—the pause that refreshes. I hope we never forget that.

I wish that my family and company associates who have gone before us could be with us tonight to share this special time for our company. I'm sure that they are here in spirit. On behalf of all of us at our company, I thank you for the opportunity to pause and reflect about Coca-Cola Bottling Company United.

THE END



"Actorum Memores simul affectamus Agenda!"

DATE DUE / DATE DE RETOUR

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FEB 23 1995	FEB 27 2002		
	FEB 23 2005		
FEB 15 1995	MAR 05 2002		
	FEB 03 2004		
	FEB 09 2004		
NOV 28 1996	MAR 09 2005		
DEC 14 1998			
DEC 14 1998			
FEB 06 2002			
APR 01 2008			



THE NEWCOMEN SOCIETY OF THE UNITED STATES

IN APRIL 1923, the late L. F. Loree (1858-1940) of New York, then dean of American railroad presidents, established a group now known as "American Newcomen" and interested in Business History, as distinguished from political history. Its objectives center in the beginnings, growth, development, contributions, and influence of Industry, Transportation, Communication, the Utilities, Mining, Agriculture, Banking, Finance, Economics, Insurance, Education, Invention, and the Law—these and correlated historical fields. In short, the background of those factors which have contributed or are contributing to the progress of Mankind.

The Newcomen Society of the United States is a nonprofit membership corporation chartered in 1961 under the Charitable Law of the State of Maine, with headquarters at 412 Newcomen Road, Exton, Pennsylvania 19341, some five miles east of Downingtown, Pennsylvania, and 32 miles west of the City of Philadelphia. Here also is located The Thomas Newcomen Memorial Library and Museum in Steam Technology and Industrial History, a reference collection, including microfilm, open to the public for research and dealing with the subjects to which the Society devotes attention.

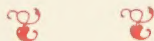
Meetings are held throughout the United States of America and across Canada at which Newcomen Addresses are presented by leaders in their respective fields.

The approach in most cases has been a life-story of corporate organizations, interpreted through the ambitions, the successes and failures, and the ultimate achievements of those pioneers whose efforts laid the foundations of the particular enterprise.

The Society's name perpetuates the life and work of Thomas Newcomen (1663-1729), the British pioneer, whose valuable contributions in improvements to the newly invented Steam Engine brought him lasting fame in the field of the Mechanic Arts. The Newcomen Engines, whose period of use was from 1712 to 1775, paved a way for the Industrial Revolution, Newcomen's inventive genius preceded by more than 50 years the brilliant work in Steam by the world-famous James Watt.

The Newcomen Society of the United States is affiliated with The Newcomen Society for the Study of the History of Engineering and Technology, with offices at The Science Museum, South Kensington, London, S.W. 7, England. The Society is also associated in union with the Royal Society for the Encouragement of Arts, Manufactures and Commerce, whose offices are at 6 John Adam Street, London, W.C. 2, England.

Members of American Newcomen, when in Europe, are invited to visit the home of Thomas Newcomen at Dartmouth in South Devonshire, England, and to see the Dartmouth Newcomen Engine working.





*"The roads you travel so briskly
lead out of dim antiquity,
and you study the past chiefly because
of its bearing on the living present
and its promise for the future."*

—LIEUTENANT GENERAL JAMES G. HARBORD,
K.C.M.G., D.S.M., LL.D., U.S. ARMY (RET.)
(1866-1947)

*Late American Member of Council at London
The Newcomen Society
for the study of the history of
Engineering and Technology*

